

is a consequence of the rules of chance. These two regimes are light years apart. Rules of chance, over the long haul, cannot be applied successfully to trading. A good bet based on odds in other areas of life may be the worst possible trade in futures. A bad chance based on probabilities may in fact be a terrific futures position. For instance, in a bear market of long duration, pure odds will favor a rally; unfortunately, if an oversupply continues to dictate lower prices, those who buy the market on the basis of probabilities will lose money.

I have often heard the statement, "I had to liquidate my long position because the market was up ten days in a row." Those traders are applying the rule of probabilities to trading. While that may sometimes turn out to be a correct decision, it is far from the right reason. The long position may have been a better position on the eleventh day than it was on the first; maybe, on the eleventh day the world finally recognized what the trader's instincts had told him ten days before. Thus, the rule of probabilities cannot be the controlling factor for a market decision.

Successful futures traders are good businessmen and good money managers. Though traders risk their capital, those who are successful follow conservative and disciplined business practices. Thus, money management is every bit as important as being correct in the market. Unfortunately, this principle has somehow been lost by the public, and futures exchanges are instead often likened to gambling casinos.

I am often asked how much money is needed to begin trading. It is not really a question about the *amount* of capital required, rather it is a question of the *type* of capital. While I would not recommend it, you can begin trading futures with as little as a couple of thousand dollars—the minimum margin requirement—if a brokerage firm will accept your account.* The amount of capital available to begin trading

* The rules pertaining to the amount of capital required for futures trading have changed considerably since this essay was written in 1969. Inflation, the type of products available, and volatility of prices have affected the amount of margin capital required.